R.M. AUCTIONS (PRIVATE) LIMITED
versus
YARUKA INVESTMENTS (PRIVATE) LIMITED
and
REGISTRAR OF DEEDS

HIGH COURT OF ZIMBABWE
MUSITHU J
HARARE, 21 November 2025 & 8 July 2026

Summons Commencing Action-Special Plea of Prescription

T Mpofu, for the plaintiff
S Ushewokunze, for the 1st defendant

MUSITHU J:

[1] The dispute before the court is concerned with a special plea of prescription which was raised by the first defendant against the plaintiff's claim. The first defendant sought the dismissal of the plaintiff's action on the ground that the claim had prescribed in terms of s 15(d), read with s 19(3)(a), of the Prescription Act.[1] The first defendant further sought an order of costs on the punitive scale. The relief sought was couched as follows:

> "**WHEREFORE** 1st Defendant prays for an order that:
> 1. a Special Plea of prescription taken by 1st Defendant be and is hereby upheld;
> 2. Consequently, the Plaintiff's action be and is hereby dismissed; and
> 3. Plaintiff shall bear costs of suit on a higher scale."

Factual Background and the Plaintiff's case

[2] The factual background to the matter is as follows. The plaintiff is R.M. Auctions (Private) Limited, a company duly incorporated in accordance with the laws of Zimbabwe. The first defendant is Yaruka Investments (Private) Limited, a company duly incorporated in accordance with the laws of Zimbabwe. The second defendant is the Registrar of Deeds, cited in his official capacity as the official responsible for the registration and transfer of immovable property in terms of the Deeds Registries Act.[2]

---

[1] [*Chapter 8:11*]
[2] [*Chapter 20:05*]

[3] At the centre of this dispute is Stand 386, Willowvale Township, Harare ("the property"). According to the plaintiff, the first defendant was the registered owner of the property, which it held under Deed of Transfer No. 453/96. On 22 November 2005, the plaintiff entered into a written agreement of sale with one W. M. Mutyanda, who purported to be representing the first defendant. On the same date, the plaintiff paid a deposit of $500 million through the first defendant's then legal practitioners, Messrs Kantor & Immerman.

[4] The plaintiff alleged that it subsequently emerged, during a meeting held at Southerton Police Station on 7 January 2006, that Mr Mutyanda lacked authority to dispose of the property on behalf of the first defendant. After that development, the plaintiff entered into a verbal agreement in respect of the same property on 7 February 2006 directly with the first defendant, which was being represented by its director, a Mr Goredema. ln terms of that agreement, the first defendant agreed to sell the same property to the plaintiff for the sum of $1 800 000 000.

[5] According to the plaintiff, the purchase price was to be paid through the first defendant's legal practitioners, Messrs Mutamangira & Associates as follows:

a. the deposit of $500 million already paid would be refunded and immediately paid over to the first defendant by Mr Mutyanda;

b. $1 000 000 000.00 (one billion) would be paid on or before 10 February 2006;

c. Thereafter, the balance of $ 300 million would be payable within 30 days, that is on or before 10 March 2006.

d. That the first defendant pays the rental of $20 million to the plaintiff until the full purchase price was paid.

[6] The plaintiff averred that it duly and timeously complied with its obligations. It contended that it paid the purchase price in full. The plaintiff further averred that the first defendant thereafter, sought to resile from the agreement and proceeded to dispose of the property to a third party, Lynatech Marketing (Private) Limited. The plaintiff averred that it successfully challenged the sale in earlier proceedings.

[7] The plaintiff further averred that, despite its compliance with the terms of the verbal agreement, the first defendant refused to be bound by that agreement of sale. The plaintiff accordingly urged the court to grant an order declaring the existence and validity of the verbal agreement concluded between the first defendant and the plaintiff in respect of the property, together with an order compelling the first defendant to sign all necessary documents to effect transfer of the property to the plaintiff within 30 days of the granting of

the order, failing which the Sheriff of the High Court or his deputy was authorised to do so on behalf of the first defendant. The plaintiff further sought an order that the first defendant pays its costs of suit.

The Special Plea

[8] In its defence to the claim, the first defendant raised a special plea of prescription arguing that the plaintiff's claim had prescribed. The first defendant averred that the plaintiff's cause of action arose in February 2006 when the alleged verbal agreement was concluded and when the plaintiff first sought to enforce its rights under that agreement. According to the first defendant, the plaintiff instituted proceedings under HC 1135/06 in 2006 seeking confirmation of the existence of the agreement of sale concluded by the parties in respect of the same property. The plaintiff also sought an order for specific performance, compelling the transfer of the property into its name.

[9] The first defendant averred that on 11 June 2025, under HCH 1620/25, the plaintiff's application under HC1135/06, together with other ancillary applications under HC1868/06 and HCH1918/06, were dismissed for want of prosecution. In HCH1868/06, the plaintiff as the applicant sought the joinder of the second defendant to the proceedings under HC1135/06, while HCH1918/06 was an application to interdict the first defendant from disposing of the property pending determination of the main matter.

[10] The first defendant further averred that the plaintiff's own pleadings demonstrated that the cause of action arose in 2006, which was consistent with the institution of proceedings under HC1135/06 in the same year. The first defendant further contended that the institution of proceedings in HCH 1135/06 did not permanently interrupt prescription because the plaintiff did not successfully prosecute its application to obtain a judgment in its favour. The plaintiff's claim had therefore prescribed in terms of s 15 (d) as read with s 19 (3) (a) of the Prescription Act. The defendant accordingly prayed that the special plea of prescription be upheld and that the plaintiff's action be dismissed with costs on a higher scale.

The Plaintiff's Replication

[11] In its replication, the plaintiff denied that its claim had prescribed. It admitted instituting proceedings under HC1135/06 in February 2006. The plaintiff averred that the institution of those proceedings had interrupted the running of prescription. According to the plaintiff, those proceedings were instituted within the prescribed period after the cause of action arose in February 2006 and therefore had the legal effect of interrupting the running of prescription. The plaintiff further averred that the application under HC1135/06 was filed on 28 February

2006, less than a month after the conclusion of the verbal agreement on 7 February 2006. It contended that, by instituting those proceedings, prescription was judicially interrupted in terms of the Prescription Act.

[12] The plaintiff further averred that the dismissal of HCH1135/06 for want of prosecution was done at the instance of the first defendant at a time when the plaintiff was actively pursuing the matter. It averred that the main application had not been abandoned but was awaiting the determination of an application for the joinder of the second defendant before it could proceed to hearing. The plaintiff maintained that the order granted on 11 June 2025 dismissing HCH1135/06 and the related applications for want of prosecution was not a determination of the dispute on its merits. It argued that the effect of that dismissal was merely that prescription began to run afresh from 11 June 2025.

[13] The plaintiff also averred that it instituted the present proceedings on 2 September 2025, approximately three months after the dismissal of HC1135/06. According to the plaintiff, the present action was instituted well within the applicable prescriptive period and that the first defendant's special plea was therefore, without merit. On that basis, the plaintiff prayed for the dismissal of the first defendant's special plea with costs.

The Amended Replication

[14] On the day of the hearing, the plaintiff had through its counsel, filed an amendment to its replication, whose effect was to put in issue the suggestion that the plaintiff had a competent and complete cause of action on the date alleged by the first defendant.

Submissions by counsel

[15] At the commencement of the hearing, *Mr Mpofu*, applied to have the proposed amendment to the replication incorporated into the record seeing as it caused no prejudice to the first defendant. He submitted that the delay in filing the amendment was because he had only received the brief on 18 November 2025 and managed to prepare himself a day before the hearing. He was however ready to argue the matter. *Mr Ushewokunze,* appearing for the first defendant, initially objected to the proposed amendment, citing the short notice that the first defendant had been given to consider the amendment. He subsequently consented to the admission of the amendment, and it was accordingly admitted into the record by consent.

[16] *Mr Ushewokunze* submitted that the plaintiff's claim had prescribed. He contended that the cause of action arose in February 2006 as demonstrated by the facts of the matter. The plaintiff had instituted the proceedings under HC 1135/06 during the same month seeking performance of that agreement. The facts demonstrated that the plaintiff had obtained a

complete cause of action in February 2006, with the result that the present claim had prescribed. It was on that basis that the first defendant had raised the special plea of prescription.

[17] *Mr Ushewokunze* further submitted that the dismissal of the matter for want of prosecution was done after some nineteen years. On 3 September 2025 the plaintiff filed the present proceedings, seeking an order declaring the same agreement valid. Counsel argued that the plaintiff could not rely on the earlier proceedings that had been dismissed to interrupt prescription. He further argued that where a party had failed to successfully prosecute its matter to finality, those proceedings could not interrupt the running of prescription.

[18] *Mr Ushewokunze* further submitted that the principle was applicable to the present matter because the earlier proceedings were ultimately dismissed for want of prosecution under HC 1620/20. The order of dismissal was a final and appealable order and, consequently, the earlier proceedings were incapable of interrupting prescription. In support of that proposition, counsel relied on the cases of *Mashangwa & Anor v Makandiwa & two Ors*[3] and *Khanyisa Minerals Private Limited v Crowburg Resources Private Limited.*[4] *Mr Ushewokunze* also submitted that whilst the plaintiff was in occupation of the property, the first defendant instituted vindicatory proceedings against it. The plaintiff appealed against the outcome of those proceedings, but the appeal was dismissed.

[19] *Mr Ushewokunze* further referred to the case of *R.M Auctions (Pvt) Ltd & Anor v Yaruka Investments (Pvt) Ltd,*[5] which he claimed involved the same parties and was concerned substantially with the same issues that were before this court. Counsel submitted that the court found that there was no proof of the alleged verbal agreement or of any payment and that the plaintiff had failed to establish a right of retention. The decision was rendered by a two-judge bench of the court. Counsel further argued that the plaintiff was seeking, through the present proceedings, to re-litigate the same issues through the back door notwithstanding the earlier judgment.

[20] *Per contra*, *Mr Mpofu* submitted that the court should disregard the decision in HH 520/25 as it was of no assistance in determining the current issue before the court. Counsel argued that the first defendant had not raised a special plea of *res judicata* or issue estoppel, but had instead relied solely on a special plea of prescription. Accordingly, the only issue for

---

[3] HH 10/18
[4] HH 425/23
[5] HH 520/25

determination was whether the plaintiff's claim had prescribed. Counsel also submitted that the determination of the question of prescription depended on establishing the date upon which the plaintiff's cause of action arose. In that regard, he relied on the decision of the Supreme Court in *Nan Brooker v Mudhanda*.[6]

[21] *Mr Mpofu* submitted that the first defendant had failed to lead evidence on that issue. He argued that the affidavit before the court did not adduce evidence because it was not formerly tendered into evidence and therefore did not constitute evidence upon which the court could make factual findings and conclusions. *Mr Mpofu* further submitted that on the authority of the *Nan Brooker v Mudhanda* case, a witness who tendered an affidavit of evidence must be made available for cross examination where the facts contained therein were disputed. *Mr Mpofu* accordingly submitted that the matter could not properly be determined on the papers. He argued that action proceedings were necessary because the date upon which the plaintiff's cause of action arose remained in dispute and could only be determined after the leading of *viva voce* evidence

[22] *Mr Mpofu* submitted that where the date upon which a cause of action arose was in dispute, the issue could not be determined on the papers and ought to be resolved through the leading of oral evidence. Counsel argued that, in its amended replication, the plaintiff expressly denied that it had acquired a complete cause of action in February 2006 and placed that issue squarely in dispute.

[23] *Mr Mpofu* further submitted that the first defendant had failed to place the record of earlier proceedings before the court upon which it sought to rely on. He argued that, in the absence of that record, there was no evidential basis upon which the court could determine when the plaintiff's cause of action arose or whether the running of prescription had been interrupted. Counsel referred the court to the relief sought by the plaintiff in the summons and the one sought in the previous proceedings. He submitted that the two forms of relief were materially different, demonstrating that the earlier proceedings were not necessarily founded on the same cause of action as the present claim.

[24] Counsel accordingly argued that the issue before the court was not whether the parties had previously litigated, but when the plaintiff acquired a complete cause of action for purposes of the Prescription Act. He submitted that that issue could only be determined after evidence had been led on the relevant dates and surrounding facts. *Mr Mpofu* further

---

[6] SC 5/18

submitted that the other proceedings referred to by counsel for the first defendant were of no relevance to the issue of prescription. He argued that those proceedings concerned an appeal arising from an application for summary judgment and did not determine the issue presently before the court. Counsel contended that the facts and issues in those proceedings were materially different from those arising in the present matter. He maintained that the first defendant had failed to lead evidence establishing the date upon which the plaintiff's cause of action arose. According to counsel, the burden rested on the first defendant to prove that date, and in the absence of such evidence, the special plea of prescription could not succeed.

[25] In reply, *Mr Ushewokunze* submitted that the first defendant had filed an affidavit of evidence on record. In that affidavit, the first defendant set out the date upon which the plaintiff's cause of action arose. Counsel contended that the decision in *Van Brooker v Mudhanda* had informed the approach adopted by the first defendant in placing the affidavit of evidence before the court. He contended that evidence may, in appropriate circumstances be placed before court either by way of agreed facts or through an affidavit of evidence. He further relied on the case of *Musindo v Kazambara*[7] for the proposition that an affidavit of evidence may properly be used in determining issues arising from a special plea. Counsel also referred the court to the case of *City of Harare v Aqua- Jets (Private) Limited & Anor,*[8] and submitted that an affidavit of evidence was permissible where parties placed such material before the court for purposes of determining preliminary issues.

[26] *Mr Ushewokunze* further submitted that in paragraph 15 of the affidavit of evidence the first defendant specifically addressed the issue of the date upon which the plaintiff's cause of action arose. He argued that even in its amended replication, the plaintiff did not seriously place in issue the date upon which the cause of action arose. Counsel submitted that it was trite that what was not specifically denied was taken to have been admitted. He contended that the plaintiff did not rebut the averments made in the affidavit of evidence.

The issue for determination

[27] The determination of the first defendant's special plea of prescription turns on the following issues:

a) Whether the date on which the plaintiff's cause of action arose is capable of determination on the papers or requires the leading of evidence.

---

[7] HH 234/24
[8] HH 65/23

b) If the cause of action arose in February 2006, whether the institution of proceedings under HC1135/06 interrupted the running of prescription and, if so, the effect of the dismissal of those proceedings for want of prosecution.
c) Whether the plaintiff's claim has prescribed in terms of s 15(d), read with s 19(3)(a), of the Prescription Act.

The Analysis

Whether the date on which the cause of action arose can be determined on the papers

[28] The resolution of the special plea requires the consideration of the Prescription Act and its application to the facts as pleaded by the parties. While the sequence of the events that gave rise to the dispute was largely common cause, the parties differed on whether the date upon which the plaintiff's cause of action arose could be determined from the pleadings or whether that issue required the leading evidence. I now turn to consider the issues ad seriatim.

[29] It is trite that prescription begins to run when a debt becomes due. The commencement of prescription is governed by s 16 of the Prescription Act,[9] (the Act). Section 16(1) of the Act provides that *prescription commences to run as soon as the debt is due.* However, that general principle is qualified by *s*16(3) which provides that;

> "A debt shall not be deemed to be due until the creditor becomes aware of the identity of the debtor and of the facts from which the debt arises:
> Provided that a creditor shall be deemed to have become aware of such identity and of such facts if he could have acquired knowledge thereof by exercising reasonable care."

The effect of these provisions is that the running of prescription is not determined merely by the conclusion of an agreement or the occurrence of a particular event. Rather, prescription commences to run only when the debt has become legally enforceable and the creditor has the knowledge contemplated by the statute or is deemed to possess such knowledge through the exercise of reasonable care.

[30] The proper interpretation of s16 has received authoritative consideration in a number of decisions of the Supreme Court. In *Mukahlera v Clerk of Parliament & Ors* 2005 (2) ZLR 365 (S), the Supreme Court stated that:

> "By virtue of s 16(3), a debt is not deemed to be due 'until the creditor becomes aware of the identity of the debtor and of the facts from which the debt arises'. However, a creditor is "deemed to have become aware of such identity and of such facts if he could have acquired knowledge thereof by exercising reasonable care."

[9] [*Chapter 8:11*]

The court further recognised that prescription commences to run only when the cause of action arises. In defining the concept of 'cause of action', the court held that:

> "The 'cause of action' in relation to a claim is 'the entire set of facts which gives rise to an enforceable claim and includes every fact which is material to be proved to entitle a plaintiff to succeed in his claim"

[31] The same principle was reaffirmed in *Kanjere v Old Mutual Life Assurance* SC 31/24, where the court observed that prescription begins to run once the creditor is aware of the material facts entitling it to institute proceedings. Accordingly, a cause of action arises only once all the material facts necessary to sustain the claim are in existence. It is therefore not every conclusion of an agreement that gives rise to prescription. The decisive enquiry is therefore not merely whether an agreement was concluded, but when the obligation became enforceable, that is, when the creditor was entitled in law to demand performance.

[32] The enquiry in *casu* was therefore not confined to the existence of an agreement in February 2006, but whether, the plaintiff had acquired a complete and enforceable cause of action by that date. *Mr Mpofu* submitted that the special plea could not be determined on the papers because the date upon which the plaintiff's cause of action arose remained in dispute. Counsel argued that the declaration did not disclose when the cause of action arose and that the issue could only be properly resolved through the leading of evidence at trial. He relied on the case of *Nan Brooker v Mudhanda*[10] in support of his submission.

[33] *Mr Ushewokunze*, on the other hand, submitted that the plaintiff's own declaration established that the verbal agreement of sale was concluded on 7 February 2006. He contended that the plaintiff had instituted proceedings under HC 1135/06 during the same month seeking specific performance of that agreement. According to counsel, those pleadings demonstrated that the plaintiff's cause of action arose in February 2006 and that no *viva voce* evidence was required. He further submitted that the first defendant had complied with the approach discussed in the case of *Nan Brooker v Mudhanda supra*, by placing an affidavit of evidence before the court. *Mr Ushewokunze* also relied on the case of *Musindo v Kazambara*[11] for the proposition that an affidavit of evidence may properly be used in determining a special plea of prescription when the date was in dispute.

[34] The first defendant sought to establish the date upon which the plaintiff's cause of action arose through paragraph 15 of the affidavit of evidence, which reads:

---

12. SC 5/18
13. HH 234/24

> "15. The Plaintiff's cause of action arose in February 2006 being the year when it also filed an application under HC1135/06 on 28 February 2006 claiming an order confirming existence of an agreement of sale for the property between Plaintiff and 1st Defendant. I am advised that that the period of prescription for Plaintiff therefore ran from February 2005 to February 2006."

In my view, the affidavit of evidence did not, on its own resolve the dispute between the parties. It did not establish the date upon which the plaintiff's cause of action arose. It merely stated that the cause of action arose in February 2006 because proceedings under case number HC 1135/06 were instituted during that month.

[35] The institution of proceedings may, in my view, constitute evidence that the plaintiff believed it had a cause of action, but it is not, without more, proof that the debt had become due for purposes of s 16 of the Prescription Act. Equally, the deponent does not identify the factual basis upon which he concluded that the plaintiff had by then acquired a complete and enforceable cause of action. The affidavit did not state when performance became due, when the alleged breach occurred, or when all the material facts necessary to sustain the plaintiff's claim had crystallised. It is the court's view that there is a genuine and material dispute as to when the plaintiff's cause of action arose. The dispute, thus extended to whether the contractual obligations had crystallised at that time or whether performance was due.

[36] These issues, in my view go to the heart of the special plea of prescription and cannot be resolved by reference to pleadings or affidavit of evidence alone. A special plea of prescription may be determined on the papers only where the material facts are common cause or capable of determination without the need for oral evidence. Where, however, there exists a genuine dispute of fact as to when prescription commenced to run, the matter cannot be properly resolved without hearing *viva voce* evidence. In *Van Brooker v Mudhanda supra*, the Supreme Court held that:

> "It can therefore be accepted as settled that evidence is necessary when disposing of a matter in which a special plea of prescription is raised. The rationale behind this is that where a party raises a special plea as a defence, new facts arise and because of the introduction of fresh facts which did not appear in the declaration, there is need for a court to hear the evidence of the parties where facts are disputed before making a ruling on the plea."

In my view, the court must be placed in a position where credibility findings may be made after *viva voce* evidence has been led. It requires the court to hear *viva voce* evidence and make findings of fact after the witnesses have been examined and cross-examined.

[37] In light of the foregoing, I am not satisfied that the first defendant has discharged the burden resting upon it to prove, on the papers, the precise date upon which the plaintiff's

cause of action arose and when prescription commenced to run. In my view, a genuine and material dispute of fact exists regarding the specific date the plaintiff's cause of action arose, which renders the matter unsuitable for determination on the papers. The special plea of prescription is therefore not properly capable of determination at this stage and must stand over for determination after the hearing of oral evidence.

Resultantly, it is ordered that:

1. The special plea of prescription is hereby referred to trial for determination on the facts and the merits.
2. Costs shall be in the cause.

MUSITHU J……

T.H. Chitapi & Associates, legal practitioners for the plaintiff
Ushewokunze Law Chambers, legal practitioners for the first defendant